

Question (2): T O R F

1. If the price of good Y (the good on the vertical axis) increases: the slope of the budget line will decrease.
2. The law of diminishing marginal rate of substitution states that when the indifference curve is convex to the origin, the Marginal Rate of Substitution will decrease as one moves down the indifference curve.
3. The cardinal utility approach measures utility using indifference curves.
4. If the commodities can substitute one another but NOT perfect substitutes, the indifference curve will be a straight line.
5. Income effect is the sum of the substitution effect and the price effect.
6. Indifference curves intersect only if the two goods are complements.
7. If the price of an inferior good decreases, the income effect and substitution effect work in same directions.
8. If the price of a normal good decreases, the income effect and substitution effect reinforce each other.
9. If the price of good x falls, other things being equal, the substitution effect can be isolated by drawing a budget line parallel to the new budget line & tangent to the original indifference curve.
10. According to the cardinal utility approach, when total utility reaches maximum, marginal utility equals one.

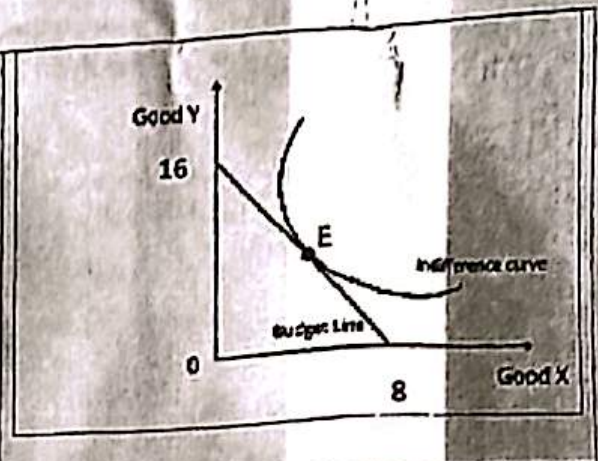
Question (3) MATCHING

1. Marginal utility	a. Is the curve that shows various combinations of the two goods which give equal satisfaction or utility to the consumer.
2. Producer surplus	b. When its price increases, its quantity demanded also increases.
3. Income effect	c. is a limit on the price of a good or service imposed by the government to protect consumers by ensuring that prices do not become prohibitively expensive.
4. Indifference curve	d. is the additional satisfaction gained by consuming one more unit of a good
5. Giffen goods	e. postulate that consumer can rank the various baskets of goods according to the satisfaction that each bundle gives him
6. Price ceiling	f. shows the quantity of one good a consumer will purchase as the price of that good changes.
7. Ordinal Utility	g. is the fact that as the price of a good goes down, more of everything (all goods) will be demanded
8. Demand curve	h. shows the quantities of 2 goods a consumer will purchase as the price of one of those 2 goods changes.
9. Income consumption curve	i. Is the difference between what producers are 'willing & able to supply a good for' & the price they actually receive.
10. Price consumption curve	j. is the curve that shows equilibrium quantities of 2 commodities that would be purchased by the buyer at different income levels, with constant prices.
	k. determines the wage rate and employment

9. Given that the marginal product of labor = 5, the quantity of labor = 10, the price of output = 3, then the value of marginal product of labor =
- a. 50 b. 15 c. 30 d. none of the above
10. In cardinal utility approach, if there are more than one commodity, the condition for equilibrium of the consumer is the equality of the
- a. ratios of the marginal utilities of the individual commodities to their prices. (MU/P)
 b. ratios of prices of the individual commodities to their marginal utilities. (P/MU)
 c. the marginal utility of one good & price of the other ($MU = P$)
 d. all the above

11. According to the graph, the slope of the budget line =
- a. -64 b. -0.5 c. -2 d. Cannot determine

12. If the price of good X = 10, the level of income = ...
- a. 80 b. 160 c. 64 d. Cannot determine



13. At equilibrium the slope of the indifference curve is negative & its value equals
- a. The slope of the budget line b. MU_x/MU_y
 c. P_x/P_y d. All the above
14. If the price of a firm's product falls, the firm's demand for labor curve
- a. shifts rightward b. does not shift and there is no movement along it.
 c. does not shift but there is a movement along it. d. shifts leftward.

- In goods Market where: Demand curve: $\{P = 6 - 0.25Q_d\}$ Supply curve: $\{P = 0.5Q_s\}$.
15. The equilibrium quantity =
- a. 8 b. 12 c. 4 d. none of the above
16. the equilibrium price =
- a. 8 b. 12 c. 3 d. none of the above

17. If goods X & Y are normal goods & the price of good X falls
- The two goods are substitutes if
- a. the substitution effect is greater than the income effect
 b. the substitution effect is greater than the price effect
 c. the income effect is greater than the substitution effect
 d. none of the above

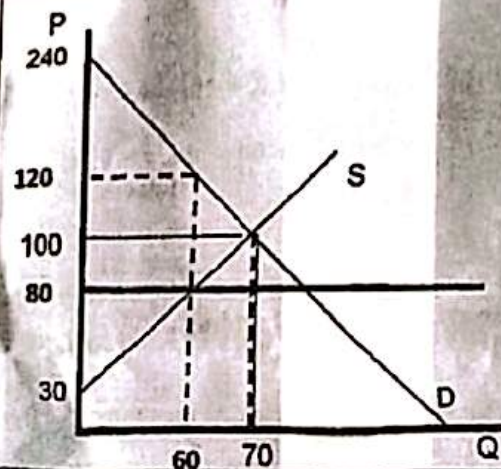
Part (1): 1 hour (3 pages)

Question (1): CHOOSE

- When the price of a giffen good (drawn on the X-axis) decreases, the PCC slopes
a. Upward b. backward c. horizontal d. downward
- Limitations of the law of diminishing marginal utility include:
a. Unrealistic assumptions such as continuity
b. Inapplicability to certain goods such as television
c. Marginal utility of money remains constant.
d. All the above

- According to the graph, the consumer surplus before imposing price ceiling =
a. 24000 b. 8400
c. 4900 d. none of the above

- If price ceiling = 80, the consumer surplus after price ceiling =
a. 2400 b. 6000
c. 3600 d. none of the above



- If the price of good X (drawn on the X-axis) decreases by 5 % as a result quantity demanded increase by 10 % therefore the PCC will be
a. downward sloping b. upward sloping
c. backward sloping d. Horizontal
- If the price of the good on X-axis falls, given that the elasticity of demand of this good = 1; which of the following is correct:
a. the PCC is horizontal b. the quantities demanded of this good increase
c. there is no change in the demand of the other good d. all the above
- If the wage rate exceeds the value of marginal product of labor, a firm can increase its profit by.....

a. employing more labor.	b. employing less labor.
c. Increasing the wage rate	d. None of the above
- A firm's demand for labor curve is also
a. its value of marginal product curve. b. the supply of labor curve.
c. the demand curve for the good it produces. d. its marginal cost curve.